



Qualification Programme Examination Panelists' Report

Module 11 – Financial Reporting (June 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This case question related to a group of companies engaging in the beauty industry. This question assessed candidates' knowledge of group accounting issues, which are very typical in Section A of this module. In addition, this case study required candidates to demonstrate logical thinking and analytical skills towards practical accounting scenarios. The two scenarios appeared to be quite similar at first glance, referring to the proposed two investments both with an acquisition of 48% of the shares of the investee (in Question 2), and the subscription of two green debt instruments (in Question 3). Candidates were expected to explain logically, based on the relevant financial reporting standard(s), why the transactions should have different accounting treatments. This case question also assessed candidates' awareness of sustainability-related disclosures, which are gaining prominence. In this examination session, candidates' performance in Section A varied. Some candidates were able to give very good answers to these questions while others did not even attempt to answer the questions.

Specific Comments

Question 1 – 16 marks

This question required candidates to apply consolidation techniques and to prepare an extract of the consolidated statement of cash flows for the group in question in accordance with HKFRS 3 *Business Combinations*, HKFRS 10 *Consolidated Financial Statements* and HKAS 7 *Statement of Cash Flows*.

Question 1(a) assessed candidates' ability to calculate the goodwill arising from the acquisition of a subsidiary and the presentation of the profit attributable to the non-controlling interest and the profit attributable to the owners of the parent. This was a very straightforward question and candidates' performance was good. However, quite a few candidates did not provide the correct answer in relation to the profit attributable to the owners of the parent, as they simply computed the sharing of the profit of the newly-acquired subsidiary to the parent, which ignored the profits earned by the other group companies in question.

Question 1(b) assessed candidates' ability to prepare the consolidated statement of cash flows, specifically, on the cash flows from investing and financing activities. This question included typical elements in the preparation of the consolidated statement of cash flows such as acquisition and disposal of fixed assets, dividends distributions and a subsidiary acquired during the year. Candidates' performance on Question 1(b) varied. Some candidates provided excellent answers while other candidates appear to have given up on answering this question.

In terms of technical content, in general, candidates were confused about the cash flows and made several mistakes when adding or deducting the relevant amounts in their computations. Further, candidates forgot to take the newly-acquired subsidiary into consideration when they compared the beginning and ending balances of the relevant line items on the consolidated statement of financial position. Candidates also demonstrated weaknesses in more complicated items such as calculating the disposal proceeds of an intangible asset as well as dividends paid.

In terms of examination techniques, some candidates did not read the question carefully as it only required candidates to extract the cash flows from investing and financing activities. Some candidates prepared the complete consolidated statement of cash flows including the cash flows from operating activities and the reconciliation of the cash balances. While the question included all the necessary information to prepare the complete consolidated statement of cash flows, candidates are advised to read the requirements in the question carefully and focus only on the relevant information. Moreover, some candidates did not show supporting calculations such that no partial credits could be awarded.

Question 2 – 16 marks

This question required candidates to apply analytical skills to advise on the classification of the two proposed investments in question. Candidates needed to refer to a number of financial reporting standards in their analysis, namely, HKFRS 10, HKFRS 11 *Joint Arrangements* and HKAS 28 *Investments in Associates and Joint Ventures*.

One of the key issues in this question is the application of the "de facto control" concepts in HKFRS 10. Overall, candidates' performance on this question was less than satisfactory, especially considering that such concepts were assessed in the June 2022 session.

In terms of technical content, candidates could in general identify the key issue relating to "de facto control". However, the application was very weak and disorganised. Specifically, candidates demonstrated weaknesses in understanding how to assess the dispersion of holdings of the other shareholders in arriving at the conclusion as to whether the investor has power or not and under what circumstance the voting pattern should be considered in the assessment. Further, candidates either left out consideration of whether the second proposed acquisition qualified as a joint arrangement or failed to demonstrate a satisfactory understanding of what a joint arrangement is.



In terms of examination techniques, some candidates did not properly extract the key words from the relevant financial reporting standard(s). For example, in defining what control is, candidates either left out the first component in HKFRS 10, which is "power over the investee", or simply wrote "links between power and returns" for the third component in HKFRS 10. While it is not mandatory to copy exactly the same words from the relevant financial reporting standard(s) to get credit in the examination, candidates are reminded that they should not leave out key words when they attempt to analyse the issues with reference to the relevant financial reporting standard(s).

In terms of analytical thinking, many candidates simply copied the facts from the case study and drew a simple conclusion as to the classification of the two proposed investments. Candidates are reminded that lacking a logical analysis of the accounting issues cannot yield good results in Module 11 examinations. Candidates are therefore advised to disaggregate the accounting issues based on the relevant financial reporting standard(s) and analyse each of the "sub-issues" carefully with comments instead of merely copying the facts from the case.

Question 2 also assessed candidates' core enabling competencies, which is a key feature in the New Qualification Programme. Specifically, the question assessed candidates' communication skills in preparing a report. Around one-third of the candidates were able to draft a proper report with: (i) the correct format; (ii) a sound introductory paragraph defining the purpose of the document; and (iii) sufficient headings to highlight the various key discussions. About two-thirds of the candidates either incorrectly used the format of drafting a memorandum or ignored the "communication" requirement in this question. Candidates are again reminded that simply including the typical format of a memorandum (with the addressee, date and subject etc.) was not properly addressing this question which required a report.

As highlighted in the Examination Panelists' report of the last examination session, a proper report should help readers grasp the key discussions points easily; therefore proper use of headings is expected. Candidates should at least use headings to highlight the two main discussions in the report (i.e., the two proposed investments). Ideally, such use of headings should be extended to sub-issues within a long discussion. For example, in the second proposed investment, candidates could further make good use of headings to highlight the discussions relating to whether the investment should be classified as a subsidiary, a joint arrangement, or an associate. Candidates who attempted this question as if it were a traditional examination question, without an introductory paragraph and proper use of headings yielded no credit for communication skills.

In general, candidates are advised to earnestly reflect on what have learned from their workshop under the New Qualification Programme and carefully read the assessment rubrics for the core enabling competencies in the website in order to clearly understand the applicable requirements for written examinations.

Question 3 – 10 marks

This question required candidates to advise on, with reference to HKFRS 9 *Financial Instruments*, how the two green debt instruments purchased by the company should be classified and how the transaction costs should be accounted for. Candidates' overall performance on this question was average.

In terms of technical content, candidates were in general able to correctly conclude the classification of the first investment, which was a subscription of a plain vanilla bond. This was a straightforward analysis. Most of the candidates were able to outline the two tests for determining the classification of a financial asset in HKFRS 9 and concluded that it should be measured at amortised cost. However, candidates are advised to carefully analyse the issues based on the wordings in the relevant accounting standard(s). Quite a number of candidates either simply stated that the "SPPI test" was fulfilled without further application, or left out the analysis in relation to receiving cash flows "on specified dates" in the "SPPI test".

The second investment was relatively challenging. However, with the two tests outlined for the first investment, it was not overly difficult to analyse the accounting treatments for this subscription. Those who attempted this analysis could, in general, correctly conclude the classification of this investment despite very weak reasoning provided. Candidates were not aware that this bond is a non-recourse financing and the contractual terms were not consistent with a basic lending arrangement.

Weaker candidates misunderstood the case, mixing up the accounting treatments of financial assets with those of financial liabilities (which were not relevant in this case) in HKFRS 9. Some candidates also demonstrated weakness in the treatment of the transaction costs for various measurements of financial assets.

In terms of examination techniques, candidates are strongly advised to state clearly the conclusion(s) if sufficient fact patterns have already been provided in the case. Those candidates who failed to draw a conclusion would not be awarded credit.

Question 4 – 8 marks

This question assessed candidates' awareness of the "comply and explain" provisions in the Environmental, Social and Governance ("ESG") Reporting Guide with high-level applications to the case. In general, candidates demonstrated very limited awareness of such disclosures.

This question was straightforward and the disclosure requirements were standard textbook material. However, quite a few candidates left this question blank. Those who attempted the question often could not link their answers to the relevant disclosure requirements in the ESG Reporting Guide under the listing rules. Candidates included irrelevant materials in their answers such as integrated reporting or the Mandatory Disclosure Requirements in the ESG Reporting Guide. A handful of candidates copied inaccurate information in relation to the "comply or explain" provisions, such as stating that there were three aspects (which should be four) under the Environmental Subject Area and stating that one of the aspects under such Subject Area was "Environmental performance", which was not the case.

Many candidates simply extracted the ESG-related facts and initiatives from the case background without linking them to the disclosure requirements in the ESG Reporting Guide. This would not be awarded with credits in Module 11 examinations. The focus of this module is on corporate reporting and candidates should be equipped with the knowledge on how sustainability-related issues are disclosed in corporate reports. Candidates are reminded to be aware of the disclosure requirements under the ESG Reporting Guide within the listing rules of the Hong Kong Stock Exchange, the International Integrated Reporting (<IR>) Framework, and the inaugural global sustainability disclosure standards issued by the International Sustainability Standards Board (which will be an emerging topic of Module 11).

(II) Section B – Essay/Short Questions

General Comments

The questions in this section aimed to test candidates on their conceptual understanding as well as their ability to apply their knowledge to specific situations that are commonly seen or emerging in practice.

In general, candidates were able to understand the requirements of the questions and identify the applicable standards that could be relevant. However, many candidates struggled when it came to situations that go beyond the application of general basic principles, even when those involved common scenarios explicitly covered in the standards.

Candidates who scored high marks were able to present their answers logically and succinctly in response to what was required, with their answers being supported with precision from the relevant financial reporting standards requirements.

In general, performance in this section was less than satisfactory.

Specific Comments

Question 5 – 18 marks

This question required candidates to determine how the three types of bonuses should be accounted for. All of these bonuses were to be settled in cash but had different settlement dates and/or ways of determining the magnitude of the bonuses. One was short-term employee benefit and the second one was other long-term benefit – both of which were covered under HKAS 19 *Employee Benefits*. The third one was cash-settled share-based payment covered by HKFRS 2 *Share-based Payments*.

Candidates were first of all required to be able to determine the applicable standards based on the facts provided. Then, it would be relatively straight forward in terms of concluding the corresponding accounting requirements.

Many candidates were able to form reasonable arguments for the first bonus, although some were not aware that it was an adjusting post-balance sheet event with HKAS 10 *Events after the Reporting Period* explicitly mentioned. Quite a few candidates did not realise that the entity had a constructive obligation even when the fact pattern mentioned that this was a recurring event.

Many candidates were not aware of the second bonus being other long-term employee benefit and its corresponding accounting treatment. Not many candidates highlighted the need to discount the balance due to its long-term nature. In addition, some candidates went on to apply HKFRS 2, which was not relevant to this second transaction.

Many candidates were not able to identify the third bonus, which is based on the value of shares of the reporting entity that would fall under HKFRS 2. Some candidates diverged to talk about vesting/ market conditions when the question was explicit that candidates were not required to do so. Further, many candidates were not familiar with the distinction between equity-settled and cash-settled share-based payments and their corresponding accounting treatments.

A maximum of 2 marks were awarded for analytical skills in this question. For candidates that managed to score both marks they were able to identify the relevant paragraphs in the standards, extract the relevant facts, evaluate the facts against the requirements in the accounting standards, and then draw conclusions concerning the corresponding classification and accounting treatment of those transactions. Many candidates gave up these marks by going straight to the conclusion without building up their arguments and reasoning out their answer.

It should also be noted that some candidates were inclined to say the same things in different words multiple times but it was not clear how that could help support their arguments. Sometimes it was not clear whether the candidate agreed/ disagreed with management or on what they agreed/ disagreed.

Given time constraints, it is important to have a good framework in setting up the flow of argument and quickly get to the point that is relevant for addressing the question at hand.

Overall, the performance on this question was less than satisfactory.

Question 6 – 15 marks

This question required candidates to determine whether the borrowing costs described in each of the three scenarios should be capitalised.

Most of the candidates were able to identify the relevant definitions in HKAS 23 *Borrowing Costs* and apply to the case. Most did well in their response with respect to borrowing costs arising from Loans A and B, although some candidates were not as familiar in terms of applying the requirements regarding suspension of capitalisation. With regards to the borrowing costs from Loan C, the fact pattern of the loan was borrowed for operations/ production of inventories and it was not related to the research and development phase at all. However, some candidates mistakenly assumed the loan C to be related to the research and development phase and went off track in their arguments.

Many candidates were able to perform well in this question and it was thus a surprise that some candidates did not even attempt this question.

Overall, the performance on this question was satisfactory.

Question 7(a) – 12 marks

This question required candidates to distinguish whether the two properties concerned were investment properties, owner-occupied properties or inventories as of 30 June and 31 December.

Most candidates demonstrated an understanding of the requirements in the question. For Property A – most candidates were able to perform reasonably well. However, for Property B, the majority of the candidates were not aware of the requirements in HKAS 40 *Investment Property* para. 58 that states that without any further development, the property concerned would not be reclassified to be inventory even though the intention over the use of the property has changed. A small number of candidates demonstrated an awareness that HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations* could come into play.

Overall, the performance on this question was less than satisfactory.

Question 7(b) – 5 marks

This question required candidates to demonstrate an awareness of the requirements in HKAS 12 *Income Tax* paras. 51 – 51C (in particular the rebuttable presumption as applicable to investment properties accounted for using the fair value model) and state the corresponding tax rate applicable when calculating deferred tax.

Many candidates did not attempt to answer this question. For those that attempted the question, not many candidates were able to mention the rebuttable presumption and few candidates were able to tell the different tax rates applicable with/ without applying the rebuttable presumption. Many candidates diverged to talk about calculation of current tax, which was not exactly relevant.

Deferred tax is applicable to most companies in practice. In reality, once one manages to grasp the fundamental principles, it is actually relatively straight forward in application.

Overall, candidates' performance on this question was unsatisfactory.



(III) Conclusion and Recommendation

Overall, candidates' performance was less than satisfactory.

Module 11 focuses more on the application of financial reporting knowledge in realistic professional settings and requires candidates to exercise professional judgment in evaluating accounting issues within the examination scope in order to provide advice on the most appropriate treatment. Candidates are advised to pay attention to contemporary business issues such as the sustainability-related disclosures in this examination diet.

Candidates are not expected to be able to recite everything from the financial reporting standards, but they are at least expected to be able to recall the standard(s) when particular situations arise. It is important for candidates to demonstrate their analytical skills and set out their arguments with factual and technical support in a logical yet succinct manner. Candidates are also suggested to further polish their analytical skills to identify the correct issue(s) in a case setting, understand clearly the financial reporting requirements in the accounting standards, utilise fully and appropriately the fact patterns provided in the case, and make conclusion accordingly. This will be the approach assessed in the Module 11 examinations.

Candidates are reminded to be discerning when they extract the relevant technical requirements to support their answers and to refrain from directly copying or pasting from the learning packs or past papers. The purpose of releasing past papers is to help candidates in revision and learning. The suggested answers are normally longer than what candidates are expected to give in the examination. However, candidates should aware of those suggested answers are not universal answers for every examination question.